

COTTONWOOD HOLDINGS

PRIVATE CREDIT | CRITICAL MINERALS & OIL AND GAS

INVESTMENT OVERVIEW

Cottonwood Holdings is a private credit platform providing senior-secured, milestone-linked bridge facilities to oil & gas operators and critical mineral developers — copper, rare earth elements, and gold/silver — at the pre-bankable stage. Cottonwood is raising \$15,000,000 in institutional growth capital as the first close toward a \$25M–\$30M target fund, to fund the platform's lending operations, deploying facilities of \$2M–\$10M per client. These sectors are central to domestic energy security, defense supply chains, AI infrastructure, and grid modernization.

CAPITAL RAISE AT A GLANCE

Capital Raise Target (First Close)	Use of Proceeds	Structure
\$15,000,000	Fund origination & lending capacity	Institutional equity capital

INVESTOR RETURN PROFILE

Target Payback
3.5x – 6x the investment over 3 years

CLIENT FACILITY TERMS

Terms offered to Cottonwood's clients, funded by the capital raise above.

Facility Size	Tenor	Interest Rate	PIK Fee	Exit Fee	Security
\$2M – \$10M	6 – 12 Months	12% Cash	5%	3%	First-Lien Collateral

THE FINANCING GAP

- Banks avoid pre-cash-flow assets
- Equity is dilutive; public markets volatile
- OEMs cannot underwrite technical risk
- Governments fund only post-milestone
- Large credit funds cannot deploy at \$2M–\$10M

COTTONWOOD'S APPROACH

- Senior-secured, first-lien collateral
- Milestone-linked tranche deployment
- Direct-to-vendor disbursement — funds are never advanced to the client
- Short duration with rapid capital recycling
- Upside via warrants, royalties, success fees
- Step-in rights and strict covenant enforcement

TARGET SECTORS

ENERGY

- Oil & Gas — unconventional operators, bolt-on acquisitions, workover programs with near-term production catalysts
- Copper — porphyry and sediment-hosted systems with scalable tonnage

CRITICAL MINERALS

- Rare Earth Elements — ionic clay and hard-rock deposits with strong metallurgical profiles (NdPr magnets for EVs, wind, and defense)
- Polymetallic — cobalt, niobium, vanadium, and REE-hybrid systems

COLLATERAL & DOWNSIDE PROTECTION

Cottonwood employs a dual-layer collateral structure:

- Project-level asset security: First-lien liens on mineral rights, resource data, and technical work products
- Enforcement rights: Tranche halts, facility restructuring, and step-in provisions
- Contract assignment security: \$14,000,000 USD in two client contracts, secured by blanket UCC-1 filings in Texas covering all assets of both client companies, assignable to the lender/investor via UCC-3 filing
- Assignment released upon the lender/investor's receipt of 120% of original funding
- These two contracts are backed by over \$1,000,000,000 USD of in-ground assets

INVESTOR EXIT OPPORTUNITY

- At facility maturity, Cottonwood will introduce capital raise investors to the opportunity to invest in, or acquire, the underlying project directly from the client
- Provides a potential equity-style upside path beyond the credit return earned on the raise
- Introduction only — any resulting investment or purchase is negotiated directly between the investor and the client, subject to client agreement

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